WAVERLEY GATEWAY GUIDE

Connecting International Capital

KOSOVO

Europe

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Pristina	Capital and economic centre; seat of government, the Central Bank of Kosovo and most banks, ICT firms and foreign investors	ICT and business services, finance, construction, real estate
Rahovec (Lindja Solar)	Site of the 105 MW Lindja Solar plant, Kosovo's first auctioned renewable project, on which construction began in July 2026	Solar energy, agriculture, wine
Prizren	Historic southern city close to Albania and North Macedonia, with strong diaspora and tourism links	Tourism, light manufacturing, food processing
Ferizaj	Southern hub on the main road and rail route towards Skopje and the port of Thessaloniki	Logistics, construction materials, manufacturing
Obiliq energy complex	Location of Kosovo's lignite-fired power plants, where rehabilitation is under way to secure supply during the energy transition	Power generation, engineering, energy efficiency
Peja and the west	Gateway to the mountains bordering Montenegro and Albania, with a growing tourism and food sector	Tourism, agri-food, beverages
Mitrovica and the north	Serb-majority northern municipalities where EU-facilitated normalisation and local governance are progressing	Mining, public services, cross-community projects

INVESTOR ENTRY ROUTES

- Kosovo Investment and Enterprise Support Agency (KIESA) provides facilitation, information and aftercare for foreign investors
- Law on Strategic Investments, under which large projects can be designated strategic and receive dedicated government support
- A flat 10% corporate income tax, one of the lowest rates in Europe
- Use of the euro as the domestic currency, removing exchange-rate risk for euro-based investors
- Stabilisation and Association Agreement with the EU, giving preferential access for Kosovo products to the EU market, and full participation in CEFTA
- Competitive renewable-energy auctions with 15-year contracts for difference, as used for the 105 MW Lindja Solar plant

- EU Growth Plan funding of up to €882 million, linked to reforms that open parts of the EU single market to the region

MARKET-ENTRY OBSERVATION

Kosovo in November 2026 is one of the faster-growing economies in Europe, with a young population, a large diaspora, low public debt and use of the euro. GDP grew 3.6% in 2025, according to the IMF, and accelerated to 5.27% year-on-year in the first quarter of 2026 and 4.06% in the second, with fixed investment up 11.91% and exports up 6.82%. Public debt was just 17.5% of GDP in 2025 and the deficit 0.8%. Foreign direct investment was projected by the central bank governor at about €950 million in 2025, roughly 20% higher than in 2024, and diaspora remittances at about €1.4 billion. After three elections since February 2025, Prime Minister Albin Kurti's fourth government was approved on 13 September 2026 and parliament elected Justina Shiroka Pula as president on 7 October 2026, ending a long period of political deadlock.

Kosovo's main structural challenges are its incomplete international recognition and the need to turn political stability into faster reform. Kosovo is not recognised by Serbia or by several EU member states, including Spain, Greece and Romania, which limits its membership of some international organisations and complicates its EU path; it applied for EU membership in December 2022. Relations with the EU have improved markedly: the restrictive measures imposed in 2023 were lifted after December 2025, freeing about €205 million in assistance, and Commission President von der Leyen visited Pristina on 1 October 2026 to confirm up to €882 million under the Growth Plan, of which €62 million has been received. Inflation of 7.8% in September 2026, driven by transport and energy costs, is a near-term pressure, but low debt, a sound banking sector and EU funding give room to invest in energy, transport and skills.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Recognition status	Kosovo is not recognised by Serbia or several EU members, including Spain, Greece and Romania, which affects some international memberships and its EU accession timetable	Structure contracts under recognised legal frameworks and international arbitration; the EU, US and most partners deal fully with Kosovo
Political stability	Three elections since February 2025 delayed budgets and EU-funded reforms, and the opposition has challenged the new government at the Constitutional Court	A government and president are now in place; track the court ruling and reform milestones linked to Growth Plan payments
Relations with Serbia and the north	Tensions in the Serb-majority north have periodically affected trade and security	EU-facilitated dialogue continues and the ban on Serbian goods was lifted in October 2024; include security and supply-route contingencies
Inflation	Inflation reached 7.8% in September 2026, with transport prices up 23.9%	Euro use anchors the currency; build energy and wage scenarios into business plans
Energy security	Reliance on ageing lignite plants and a temporary plant shutdown for rehabilitation raise supply and price risks	New solar auctions and storage projects create opportunities; consider on-site generation and long-term supply contracts
Rule of law and contract enforcement	Investment-protection laws meet international benchmarks but enforcement remains weak	Use experienced local counsel, clear dispute-resolution clauses and international arbitration

INVESTOR RISK NOTE

Kosovo's risk profile combines strong fundamentals with specific political and legal considerations. Public debt of 17.5% of GDP, a sound banking sector with non-performing loans of 1.8% and use of the euro provide a stable macroeconomic base, and Kosovo is not on the FATF grey list or subject to international sanctions. Investors should, however, factor in its incomplete recognition: Serbia and several EU member states do not recognise Kosovo, which limits access to some international bodies and slows its EU path. The 2025–2026 political deadlock has ended with a new government and president, and relations with the EU have improved, with restrictive

measures lifted and Growth Plan funding flowing. Tensions in the north and weak contract enforcement are best managed through local counsel, international arbitration clauses and close engagement with EU and US partners, who remain Kosovo's main supporters.

MARKET ACCESS

Kosovo's Stabilisation and Association Agreement with the EU provides preferential access for its products to the EU market, and Kosovo now represents itself fully in the Central European Free Trade Agreement, which covers trade with its Western Balkan neighbours. Use of the euro removes exchange-rate costs for trade with the euro area. The ban on Serbian finished goods was lifted in October 2024, easing regional supply chains. Kosovo is landlocked, with road links to the Albanian port of Durrës and road and rail links to North Macedonia and on to Thessaloniki. The EU Growth Plan is set to bring Kosovo closer to the single market, with SEPA payments membership and lower roaming charges among the steps tied to reform.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Albin Kurti)	Leads the government approved on 13 September 2026 and the reform agenda linked to EU Growth Plan funds	Primary reference point for strategic direction and major projects
Kosovo Investment and Enterprise Support Agency (KIESA)	National investment promotion agency supporting foreign investors and exporters	Standard first point of contact for market entry
Central Bank of Kosovo	Supervises a sound banking sector in a euro-using economy and publishes FDI and remittance data	Relevant for banking, payments and financial-sector matters
President (Justina Shiroka Pula)	Elected on 7 October 2026; a former energy minister committed to Euro-Atlantic integration	Useful channel on foreign relations and energy policy
Ministry of Finance	Leads the budget, tax policy and coordination of EU and donor financing	Key counterpart on tax, fiscal and public-finance matters
Ministry responsible for economy and energy	Oversees energy policy, renewable auctions and the rehabilitation of the lignite plants	Relevant for power, renewables and mining investment
EU Office in Kosovo	Manages EU assistance and monitors the Reform and Growth Facility	Key partner for EU-funded projects and reform conditions

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Kosovo Chamber of Commerce, the American Chamber of Commerce in Kosovo, the German-Kosovar Chamber of Commerce and the Kosovo Business Alliance are the main business associations, with regular dialogue with government. KIESA organises investor and diaspora events. The European Bank for Reconstruction and Development, the European Investment Bank, the World Bank and the EU's Western Balkans Investment Framework are active in energy, transport and private-sector finance, and the EU Reform and Growth Facility provides additional funding linked to reforms. Embassies of EU member states, the United Kingdom, Switzerland and the United States maintain commercial sections that are a useful source of introductions, and diaspora networks in Germany and Switzerland are an important source of partners and capital.

INVESTOR PROFILE BEST SUITED

Kosovo suits investors seeking a low-cost, low-tax, euro-based market with a young workforce and strong diaspora links: renewable-energy and storage developers using competitive auctions; ICT and business-services firms drawing on young, multilingual talent in Pristina; construction, real-estate and building-materials companies serving diaspora demand; agri-food and beverage producers; and engineering firms working on EU- and DFI-financed energy and transport projects. Investors should be comfortable with recognition-related constraints and use international arbitration.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage KIESA and assess strategic-investment status
Open dialogue with the agency on incentives, permits and eligibility under the Law on Strategic Investments.

STEP 2: Take legal advice on recognition and contracts
Confirm how recognition affects the target markets and counterparties, and use international arbitration clauses.

STEP 3: Map EU Growth Plan and DFI financing
Identify Growth Plan, EBRD, EIB and World Bank programmes that can co-finance energy, transport or private-sector projects.

STEP 4: Track energy auctions and tariffs
Follow the renewable and storage auction pipeline and plan for energy-price and supply risk in operations.

STEP 5: Monitor political and regional developments
Follow the Constitutional Court case on the government, reform milestones and the EU-facilitated dialogue with Serbia.